SCHEDULE RES-BCT

LOCAL GOVERNMENT RENEWABLE ENERGY SELF-GENERATION BILL CREDIT TRANSFER

APPLICABILITY

Pursuant to California Public Utilities Code (PU Code) Section 2830, this schedule is optionally available to bundled service Local Government (as defined in Special Condition (SC 2) or Tribe (as defined in SC 3) using an Eligible Renewable electrical generating facility (as defined in SC 1 and 4 who have timely submitted a completed Generation Bill Credit Transfer Allocation Request Form to the Utility. N,D T

This schedule will be available to eligible customers, upon request, on a first-come-first-served basis, until the combined rated generating capacity of Eligible Renewable Generating Facilities within SDG&E's service territory reaches SDG&E's share of 8.1% of the statewide 250 megawatts (MW) limitation, based on the ratio of SDG&E's peak demand to the total peak demand of all electrical corporations within the State of California.

This schedule will become effective no sooner than 120 days from the date the first request for service under this schedule has been received by the Utility.

Service under this schedule shall not be provided in combination with the Level Pay Plan option set forth in Rule 9.

Eligible customers who take service under Schedule RES-BCT shall not be eligible for any other tariff or program that requires an electrical corporation to purchase generation from the customer's Eligible Renewable Generation Facility.

TERRITORY

Within the entire territory served by SDG&E.

RATES

Only the energy charge rate component of the Generating Account's (as defined in SC 5) electric energy commodity rate schedule shall be used in the calculation of credits to be applied under this schedule. CPUC Decision (D.)17-01-006 permits certain eligible behind-the-meter solar customers to continue billing under grandfathered time-of-use (TOU) period definitions for a specific period. TOU Period Grandfathering eligibility for RES-BCT customers only applies to the Generating Account – other eligibility details and applicable TOU periods rates, and conditions are defined in the Generating Account's electric energy commodity rate schedule. T

Costs associated with billing system modifications required for the development and implementation of Schedule RES-BCT will be recovered from participating customers through a fixed monthly charge of $30 per month and a one-time set-up fee of $500 per Generating Account.

SPECIAL CONDITIONS

Definitions: The Definitions of terms used in this schedule are found either herein or in Rule 1.

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SPECIAL CONDITIONS (Continued)

1. Renewable electrical generation facility: A facility that generates electricity from a renewable source listed in paragraph (1) of subdivision (a) of Section 25741 of the Public Resources Code. These sources are biomass, solar thermal, photovoltaic, wind, geothermal, fuel cells using renewable fuels, small hydroelectric generation (only if facility will not cause an adverse impact on instream beneficial uses or cause a change in the volume or timing of streamflow), digester gas, municipal solid waste conversion, landfill gas, ocean wave, ocean thermal, or tidal current, and any additions or enhancements to the facility using that technology.

2. Local Government: Per PU Code § 2830, means a city, county, (whether general law or chartered, city and county), special district, school district, political subdivision, other local public agency or a joint powers authority formed pursuant to the Joint Exercise of Powers Act (Chapter 5 (commencing with Section 6500) of Division 7 of Title 1 of the Government Code) that has as members public agencies located within the same county and same electrical corporation service territory, but shall not mean the state or any agency or department of the state, other than an individual campus of the University of California or the California State University or any joint powers authority that has as members public agencies located in different counties or different electrical corporation service territories, or that has as a member the federal government, any federal department or agency, this or another state, or any department or agency of this state or another state.

3. Tribe: means a California Native American Tribe, as defined in Section 21073 of the Public Resources Code, on the contact list maintained by the Native American Heritage Commission for the purposes of Chapter 905 of the Statutes of 2004.

4. Renewable Electrical Generation Facility: An electric generation facility that meets all of the following criteria:

   a) is a generation facility with a generating capacity of not more than five megawatts;

   b) is located within the geographical boundaries of the Local Government or Tribe;

   c) is owned, operated, or located on property under the control of the Local Government or Tribe. Under circumstances when a Local Government customer is a lessee in a lease agreement, leased property within the geographical boundaries of the Local Government customer shall be considered under the control of the Local Government customer;

   d) is sized to offset all or part of the electrical load of the Generating Account(s); and

   e) is interconnected and operates in parallel with Utility's transmission and distribution systems.

   Eligible generators utilized to receive service under the terms of this rate schedule shall be in compliance with SDG&E's Electric Rule 21, Interconnection Standards for Non-Utility Owned Generation. Eligible generators participating on this schedule are not eligible for service under Schedule NEM, Net Energy Metering, and its successor tariffs, except under the Multiple Tariff provisions within those schedules, for non-export energy storage only. T N

(Continued)

SCHEDULE RES-BCT

LOCAL GOVERNMENT RENEWABLE ENERGY SELF-GENERATION BILL CREDIT TRANSFER

SPECIAL CONDITIONS (Continued)

5. Generating Account: The SDG&E electricity billing account at the location of the Eligible Renewable Generation Facility served under a time-of-use (TOU) rate schedule with bills rendered in the name of the Local Government or Tribe. Generating accounts will be allowed to take service under Schedule DG-R and would be eligible to participate in a Critical Peak Pricing service L T L L D,N L

6. Benefiting Account: Per PU Code 2830, , a benefiting account is either of the following; an SDG&E electric billing account, or more than one account, located within the Local Government or Tribe's geographical boundaries that is mutually agreed upon by the Local Government or Tribe and the Utility and served under a TOU rate schedule with bills rendered in the name of Local Government or Tribe, or for a campus, within the geographical boundary of the city, county, or city and county in which the campus is located or an account or accounts that belong to members of a joint powers authority and are located within the geographical boundaries of the group of public agencies that formed the joint powers authority, if the eligible renewable generating facility and electricity account or accounts are wholly located within the confines of a single county within which the joint powers authority is located and electric service is provided by a single electrical corporation, with the account or accounts being mutually agreed upon by the joint powers authority and the electrical corporation. T D,N D,N D,N

   In order to be an eligible Benefiting Account of a Tribe, the account(s) must belong to a Tribe and be located on land owned by or under the jurisdiction of the Tribe, the account(s) must be wholly located within a single county within which the Tribe is located and electrical service is provided by the Utility, with the account(s) being mutually agreed upon by the Tribe and the Utility. N N N N

   The number of Benefiting Accounts is limited to 50 and they will be allowed to participate in a Critical Peak Pricing service. Benefiting accounts will not automatically be eligible to receive service under Schedule DG-R, unless the Benefiting Account is already a host facility to a distributed generation project.

   Benefiting Accounts participating on this schedule are not eligible for service under Electric Schedule NEM, Net Energy Metering.

7. Local Government or Tribe Responsibility: In order to commence service under this schedule, the Utility must be in receipt of a Generation Credit Allocation Request Form (form 142-0546) at least 60 days prior to the Eligible Renewable Generation Facility becoming operational. In addition, the Local Government or Tribe shall have paid all costs associated with the Utility installing a meter capable of recording net generation output in 15-minute intervals, any wiring, trenching, conduit, or other facility costs incurred by the Utility to interconnect with the customer's generator, adjusted based on Rule 2 factors for a one-time payment. The location(s) of the customer's generator output metering equipment shall be approved by the Utility. T,D,N D,N

8. Local Government or Tribe Generation Bill Credit Transfer Allocation Request Form: Form 142-0546, completed by the Local Government or Tribe, designates how the Power Delivered (as defined in SC 9.a.) will be allocated amongst the customer's Benefiting Accounts, up to a maximum of 50 accounts. The form must be received by the Utility at least 60 days prior to the regularly scheduled meter reading date of the Generating Account that the customer elects to begin receiving service under this schedule. T,D,N D,N

SCHEDULE RES-BCT

LOCAL GOVERNMENT RENEWABLE ENERGY SELF-GENERATION BILL CREDIT TRANSFER

SPECIAL CONDITIONS (Continued) L

8. Local Government or Tribe - Generation Bill Credit Transfer Allocation Request Form (cont.) T,N

The customer-designated allocation will become effective on the designated Generating Account's scheduled meter reading date and shall remain in effect for a minimum of twelve monthly billing periods. The customer may submit an updated form any time thereafter. Modified forms must be received by the Utility at least 60 days prior to when a reallocation of Power Delivered becomes effective and shall remain effective for at least twelve billing periods from the effective date. Local Government or Tribe requesting to terminate service under this rate schedule shall provide written notice to the Utility, which must be received by the Utility at least 60 days in advance of such termination. D,N L

9. Billing Process: The following billing process shall be used. T

a) Power Delivered: The Power Delivered is the metered output measured in kilowatt-hours, exported to the grid, as recorded by the net generator output meter and validated by the appropriate Utility billing processes during the specific billing period.

b) Credits: The monetary value of credits provided under this schedule will be calculated by multiplying the Power Delivered by the appropriate TOU energy charge component of the Generating Account's electric energy commodity rate schedule, as determined by the discrete TOU period during which the Power Delivered was produced and exported to the grid. Pursuant to Section 2830, paragraph (9) of the Public Utilities Code, SDG&E shall not be required to compensate a Local Government or Tribe for electricity generated from an eligible renewable facility in excess of the bill credits applied to the designated benefiting account. N

c) Allocation of Credits: A Benefiting Account Relevant Period is a twelve-month period, or portion thereof, corresponding to that of the Generating Account Relevant Period. However, due to possible differences in billing (and meter read) cycles, the Generating Account Relevant Period may lag in time behind the Generating Account Relevant Period by any number of days up to one full billing cycle.

For the purpose of applying Bill Credit, the Bill Credit Relevant Period ends at the same time as the Benefiting Account Relevant Period (noted in the Generation Bill Credit Transfer Allocation Request Form (142-0546)), that is lagging the *most* behind the Generating Account Relevant Period, up to one Billing Cycle.

For a new Benefiting Account Credit arrangement, the initial Benefiting Account Relevant Period for a Benefiting account that does not have the same Billing Cycle as the Generating Account, will start its Relevant period at the start of its first full billing cycle that falls *after* that of the Generating Account. During the less-than-one-full billing-cycle period between the start of the Generating Account's Relevant Period and that of the Benefiting account, no bill credit will be applied to that Benefiting Account's usage. (The Benefiting Account's normal Relevant period will still consist of a twelve-month period, it just starts with the first full bill cycle.)

SCHEDULE RES-BCT

LOCAL GOVERNMENT RENEWABLE ENERGY SELF-GENERATION BILL CREDIT TRANSFER

SPECIAL CONDITIONS (Continued)

9. Billing Process (Continued)

Credits will be applied to the Generating Account and the Benefitting Account(s) based on whole percentages provided by the Local Government or Tribe – Generation Bill Credit Transfer Allocation Request Form on file with the Utility up to a maximum of 50 Benefiting Accounts. The process of allocating credits shall commence on the effective date of the Generation Bill Credit Transfer Allocation Request Form (form 142-0546) and shall continue for 12 consecutive billing periods (Relevant Period). Credits remaining at the end of the Relevant Period will be applied toward remaining eligible commodity charges on the Benefiting Account(s) or to offset customer payments applied toward commodity charges during the Relevant Period. Any remaining credit shall be reset to zero. Each subsequent 12-month period of service under this schedule shall be considered a new Relevant Period. Pursuant to Section 2830, paragraph (9) of the Public Utilities Code, SDG&E shall not be required to compensate a Local Government or Tribe for electricity generated from an eligible renewable facility in excess of the bill credits applied to the designated benefiting account. N N L

d) Benefiting Account Bill: A Benefiting Account served under this schedule is responsible for all charges billed under its OAS including monthly billed minimum charges, customer charges, meter chargers, facilities charges, and energy and demand charges. Applicable demand charges are defined in the OAS. Credits applied on a monthly basis to a Benefiting Account shall not exceed the electric energy commodity charges incurred during the specific billing period.

e) Generating Account Bill: A Generating Account served under this schedule is responsible for all charges billed under its OAS including monthly billed minimum charges, customer charges, meter chargers, facilities charges, energy and demand charges. Applicable demand charges are defined in the OAS. Credits applied on a monthly basis to a Generating Account shall not exceed the electric energy commodity charges incurred during the specific billing period.

10. Interconnection: Prior to Parallel Operation, the Local Government or Tribe must execute and comply with the applicable Utility Interconnection Agreement. The Eligible Renewable Generation Facility shall comply with all of SDG&E's tariffs, including but not limited to SDG&E's Rule 21, and any other regulations and laws governing the interconnection of the Eligible Renewable Generating Facility. N,D

11. Generator Limitation: No generator shall be included behind a Net Generator Output Meter recognized by this rate schedule other than an RPS eligible generator.

12. Renewable Energy Credits (RECs): Any RECs would remain with the owner pursuant to Section 2827 of the Public Utilities Code. L